WÄRTSILÄ OYJ ABP

Nasdaq Helsinki: WRT1V | Engine power plants, marine engines and their service | Helsinki

Tommy Lau | 2 November 2026 | Initiation of coverage | Independent research

LONG	**Target price:** €30.00	**Last price:** €25.64 (Helsinki close, 30 October 2026)	**Upside:** +17%

Wärtsilä's engines are the quicker way to power a data centre, and their queue is lengthening too. At €25.64 the market pays for Energy as if the queue will not last.

Wärtsilä makes medium-speed engines. Marine sells them, and their service, to shipowners; Energy builds engine power plants, mostly gas-fuelled, and services them. My September piece argued that building your own gas power swaps the grid's queue for the makers' queues, and that the fast lane is queued too. On 27 October Wärtsilä said "lead times for our engines continue to increase".

The figures agree. Energy took orders at 2.50 times its net sales in the nine months to September, and its order book rose 87% in a year to €5.6bn. Named data centre orders were 46% of the megawatts. Yet the shares have fallen 35% from their April record, and with Marine at 14 times my 2027 profit the price leaves Energy at about 12.5 times.

My call: LONG, low conviction, 12-month target €30.00. My base sum of the parts is €30.36, up 18%, inside a range of €19.36 (down 24%) to €38.64 (up 51%). The target is my probability-weighted value, rounded, up 17%. Conviction is low because the base value clears my 15% bar by little, and the Capital Markets Day on 3 November sets the path to the new targets.

Stock data

LAST PRICE
€25.64, Nasdaq Helsinki close 30 October 2026; record close €39.63 and intraday high €40.75, both 23 Apr 2026; lowest close in 52 weeks €25.62 (18 Nov 2025)

MARKET VALUE
About €15.1bn on 589.8m shares outstanding at 30 Sep 2026

BALANCE SHEET, 30 SEP 2026
Net cash of continuing operations €1.92bn; advances received €2.01bn

ENERGY, JAN TO SEP 2026
Orders 2.50 times net sales; 4,150 MW ordered, up 130%; order book €5.6bn, up 87%

DATA CENTRES
About 1.9 GW of named orders in nine months, 46% of Energy's MW (my sum of the orders Wärtsilä named)

NEW MID-TERM TARGETS (27 OCT 2026)
Energy: high-teens organic growth, 18% operating margin. Marine: mid-single-digit, 14%. Group: low double digit, 16%

CONSENSUS (STOCKANALYSIS.COM)
2027 EPS €1.31; average target €32.18 (17 analysts)

NEXT EVENTS
Capital Markets Day 3 November 2026; FY2026 results 5 February 2027 (both confirmed by Wärtsilä)

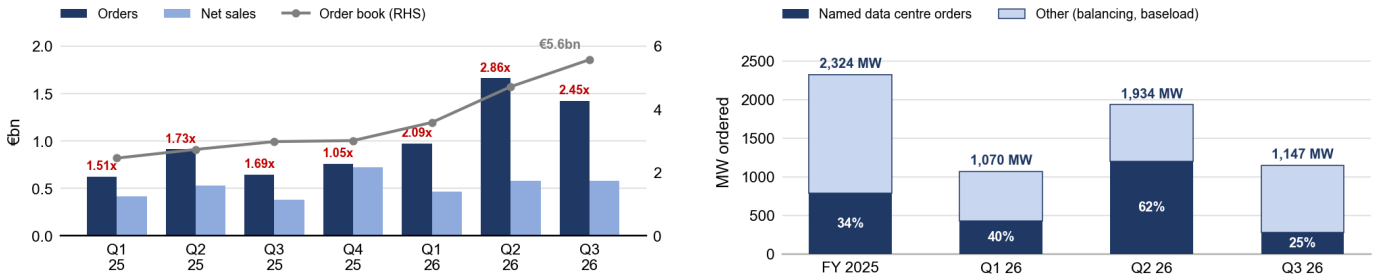
Key financials (calendar years; continuing operations; comparable operating result is Wärtsilä's measure)

€m unless stated	2024A	2025A	9M 2026A	2026E*	2027E*	Mid-term target
Energy net sales	1,897	2,048	1,624	2,384	2,908	high-teens growth
Energy margin (%)	14.2	15.4	16.0	16.3	17.5	18
Energy orders / net sales (x)		1.44	2.50			
Energy MW ordered	1,376	2,324	4,150			
Marine net sales	3,053	3,494	2,615	3,575	3,754	mid-single-digit
Marine margin (%)	11.8	12.7	13.0	13.0	13.0	14
Group net sales		6,219	4,497	6,218	6,662	low double digit

Group comparable operating result	805	623	877	997	margin 16%
EV / comparable operating result at €25.64 (x)			15.1	13.2	

**2026E and 2027E are my own estimates, not Wärtsilä's. Group figures include Portfolio Business until its last units were sold on 1 June 2026, and exclude Energy Storage, a discontinued operation. 2024 segment figures from the 2025 Financial Statements Bulletin (4 February 2026); 2025 and 9M 2026 from the Interim Report of 27 October 2026. Targets announced 27 October 2026; growth is organic. EV is market value less net cash of continuing operations and minorities at book.*

Two charts: Energy's orders run far ahead of its sales, and data centres are a large share of them



Left: Energy orders and net sales by quarter, €bn, with orders over net sales in red and the order book (RHS). Right: Energy MW ordered; the dark part is data centre orders Wärtsilä named in its reports (789 MW across 2025, not split by quarter; 429 MW in Q1, 1.2 GW in Q2 and 282 MW in Q3 2026). Shares are my arithmetic. Sources: Wärtsilä interim reports and the 2025 Financial Statements Bulletin.

The thesis: the lighter rig, and its own diary

The piece used a picture. Your street's water main is too small, so you sink your own well, and the big drilling firm is booked for years. A smaller firm with a lighter rig can come sooner, but its diary is filling too. Gas turbines are the big rig. Wärtsilä's engines are the lighter one: on the data centre orders it has named, fifteen to twenty-four engines of about 18 to 19 MW each, built in modules.

The diary is filling. Energy ordered 4,150 MW in the nine months to September, up 130% on a year earlier and more than in all of 2025. Its equipment orders were €2,998m against €770m of equipment sales, 3.9 times. Only €692m of the €5,571m order book is due this year. Wärtsilä said "equipment delivery times continued to increase, impacting the timing of revenue recognition".

How much is data centres? Wärtsilä names its large orders. In 2025 it secured its "first two projects in the US", 789 MW, 34% of the year's megawatts. In 2026 it named 429 MW in the first quarter, "1.2 GW of firm data centre-related orders across two projects" in the second and 282 MW in the third: about 1.9 GW on my sum, 46% of the nine months. It is likely a floor, since smaller orders may not be named. The Americas took €2,619m of the €2,998m of equipment orders.

The other half matters as much. Balancing plants, which back up wind and solar, kept ordering: more than 0.5 GW in the second quarter and a 300 MW plant in the third, the largest engine power plant Australia has ordered. So Energy's growth is roughly half data centres and half the older balancing business, on the orders Wärtsilä named.

Is engine capacity the limit? On Wärtsilä's words, yes for now. It is expanding output at its Vaasa factory by 35% by the first quarter of 2028, and to about 2.2 times the 2025 level by the first quarter of 2029. Until then, more orders lengthen the queue rather than lift sales. In October it named a new source of an old risk: "price pressure, including from the ongoing expansion in gas engine and turbine manufacturing capacity". The queue is real, and so is the competition to shorten it.

The piece's claim holds at Wärtsilä. Its 27 October quote and the 282 MW order of fifteen engines match the report. The claim itself is tested on GE Vernova; Wärtsilä is the fast lane's evidence.

Variant perception: what the market prices in, and where I differ

At €25.64 Wärtsilä is worth about €15.1bn on 589.8m shares. Less €1.92bn of net cash in continuing operations, the enterprise value is about €13.2bn: 15.1 times my 2026 estimate of the comparable operating result and 13.2 times my 2027 estimate. The shares trade at 19.6 times the €1.31 consensus EPS for 2027 on stockanalysis.com. Engine and power peers trade at about 19 to 26 times trailing EV to EBIT.

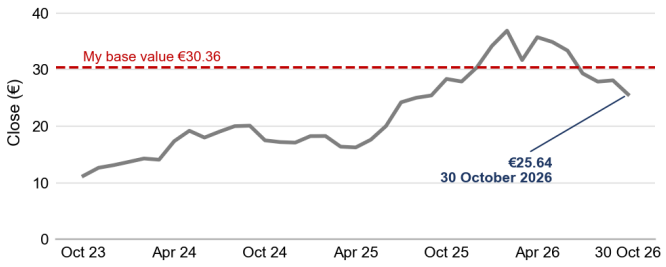
What the price implies. Give Marine 14 times my 2027 estimate, and the price leaves Energy at 12.5 times, below every engine peer, for a business now targeting high-teens growth with an order book 2.7 times last year's sales. Put the other way, with Energy at 18 times the price leaves Marine at 8.3 times. The market is not paying for both.

The shares have fallen on each of the last four results days, even as orders hit records. Wärtsilä does not say why, and I do not guess. What the reports show is a gap: group orders up 26% in nine months, reported net sales up 2%, because the engines are queued. Earnings arrive later than orders. I differ on three points.

The queue turns into sales, only later. Energy's 2026 deliveries are €692m of a €5.6bn book. The rest, about €4.9bn, is 2027 and later, at an equipment gross margin Wärtsilä said in July had risen more than 500 basis points since the start of 2025. My 22% growth for Energy in 2027 needs a fraction of it.

Marine is not at a peak that must break. Marine made 55% of the 2025 comparable result, so the marine cycle still matters. But 64% of its 2025 sales were service, its order book is up 18%, and newbuild contracts in the market more than doubled in nine months, on the Clarksons figures Wärtsilä cites. My base gives it 5% growth and no margin gain.

I do not need consensus. My 2027 EPS is about €1.27, below the €1.31 consensus. My Energy margin of 17.5% is below the new 18% target. On those numbers the base value is still 18% above the price.



Date	What happened	Move
4 Feb 2026	FY2025 results	down 6.3%
28 Apr 2026	Q1 results; record Energy orders	down 6.0%
21 Jul 2026	Q2 results; record group orders	down 1.9%
27 Oct 2026	Q3 results and new mid-term targets	down 8.3%

Left: Wärtsilä month-end close, October 2023 to the 30 October 2026 close, against my base value (red). Nasdaq Nordic price history, retrieved 2 November 2026. Right: moves from the previous close to the close on the day; Wärtsilä publishes before the market opens.

Valuation, with the working

I value Wärtsilä as two businesses, each at a multiple of my 2027 comparable operating result, the year that will be the latest full year by October 2027. So I set the multiples against peers' trailing EV to EBIT. I add net cash of continuing operations at 30 September, €1.92bn, deduct minorities at book, value the half of Valo, the loss-making battery joint venture, at nil, and divide by 589.8m shares.

My 2026 estimates add my fourth quarter to the nine months reported: Energy €760m at 17.0%, a little above the €692m of the order book due this year, as in 2025, and Marine €960m at 13.0%. For 2027, Energy grows 22% at 17.5% and Marine 5% at 13.0%. All are my estimates, on today's accounting. IFRS 18 from 2027 moves joint venture results out of the operating result; it changes the label, not the cash.

Sum of the parts, base case

Part	2027E comparable operating result, €m*	Multiple	Value, €bn	Share	Per share
Energy	509	18x	9.16	51%	€15.53
Marine	488	14x	6.83	38%	€11.58
Net cash, less minorities; Valo at nil			1.91	11%	€3.24
Equity value			**17.91**	**100%**	**€30.36**

**My estimates. Energy at 18x against engine peers' median of 20.7x trailing EV/EBIT (Caterpillar 21.8x, Cummins 18.7x, Rolls-Royce 20.7x) and Siemens Energy at 26.4x; lower than them because its growth rests on one market cycle in data centres. Marine at 14x, below Alfa Laval (20.1x), because new marine equipment is cyclical.*

Scenarios: three cases, twelve months out

Case	What happens	Energy 2027 result	Energy x	Marine x	Value	Change
Bear	Data centre orders stall; Energy grows 8% at 15.5%; Marine flat at 12%	€399m	12x	11x	€19.36	down 24%
Base	Energy 22% at 17.5%; Marine 5% at 13%	€509m	18x	14x	€30.36	up 18%
Bull	Energy 30% at 18.5%; Marine 7% at 13.5%	€573m	22x	16x	€38.64	up 51%
Weighted	**25 / 50 / 25**				**about €29.68**	**up 16%**

Both businesses grow from my 2026 estimates. Net cash and the share count are the same in every case. The bear multiples sit below every peer; the bull Energy multiple is still below Siemens Energy (26.4x).

Sensitivity: Marine multiple against the Energy multiple

Marine \ Energy	13x	18x	23x
11x	€23.56	€27.88	€32.19
14x	€26.05	**€30.36**	€34.68
17x	€28.53	€32.84	€37.16

With my 2027 results and net cash at base, 8 of the nine cells sit above the price and 5 sit 15% or more above it. Only the corner with both multiples low, 11 times Marine and 13 times Energy, falls below it, at €23.56. Under my rule a long needs the base value 15% or more above the price. At 18% above, my call is long, by a narrow margin.

Peer landscape

Company	Ticker	Forward P/E	EV/EBIT	What they make
Wärtsilä	HEL: WRT1V	19.9x	15.5x	Marine engines and service, engine power plants and service
Caterpillar	NYSE: CAT	20.8x	21.8x	Gas engines and turbines (Solar), construction and mining machines
Cummins	NYSE: CMI	15.2x	18.7x	Engines and generator sets, power systems
Rolls-Royce	LSE: RR	26.2x	20.6x	Aero engines; mtu engines and generator sets
Siemens Energy	Xetra: ENR	21.8x	26.4x	Gas turbines and service, grid equipment, wind turbines
GE Vernova	NYSE: GEV	37.2x	58.9x	Gas turbines, grid equipment, wind turbines
Alfa Laval	STO: ALFA	22.8x	20.1x	Heat exchangers, separators, marine equipment

Forward P/E and trailing EV/EBIT from stockanalysis.com (S&P Global data), retrieved 2 November 2026. Engine maker median (Caterpillar, Cummins, Rolls-Royce): 20.8x forward P/E, 20.7x EV/EBIT. GE Vernova's trailing 58.9x reflects earnings still recovering and is not used. Multiples set the ranges only; no view on the peers' shares is expressed.

Catalysts

When	Event	What I watch
3 November 2026 (confirmed)	Capital Markets Day, Helsinki; site visit to Vaasa on 4 November	The path to the new targets; capacity after 2029; data centre pipeline
5 February 2027 (confirmed)	FY2026 results; the new guidance practice, net sales for Marine and Energy, starts in 2027	Energy sales guidance against my 22% for 2027
March 2027 (company)	2026 figures restated for IFRS 18	The new base for the operating result
27 April 2027 (confirmed)	Q1 2027 results	Energy orders against net sales; named data centre MW
Q1 2028 (company)	35% more engine output at Vaasa	Whether lead times stop lengthening

Risks: what would hurt the view

Data centre orders stall. Named data centre orders were 62% of Energy's megawatts in the second quarter and 25% in the third. Wärtsilä calls the pipeline "dynamic" and warns that public opposition and regulation "may slow the development of data centres".

Rivals add capacity. Wärtsilä now names price pressure from new gas engine and turbine capacity, which may cut pricing before its own capacity arrives.

The marine cycle turns. Marine made 55% of the 2025 comparable result. Newbuild contracting is high, helped by longer routes around the Strait of Hormuz. A settlement there, or lower freight rates, would cut equipment orders.

The cash is partly customers' money. Advances were €2.01bn at 30 September, more than €1.92bn of net cash; if orders slow, they unwind.

Currency, tariffs and claims. Most Energy equipment orders come from the Americas and Wärtsilä reports in euros, so a weaker dollar cuts reported growth; US tariffs may hit its US energy business. Wärtsilä also notes one "unusually sizeable claim" against it.

What would change my mind

Into no call: a price above about €26.40, where my base value would sit less than 15% above it on unchanged estimates, or a Capital Markets Day path that puts Energy's growth well below high-teens. **Towards a short:** Energy's orders falling below its sales for a year, or an Energy margin that falls as the order book converts.

The view is wrong if: Energy's order intake over the four quarters to September 2027 falls below its net sales over the same quarters, or Energy's operating margin for 2027, as Wärtsilä reports it, lands below 16 per cent, or the shares close below €20 at any month end before October 2027.

Conclusion

The fast lane is queued too, and Wärtsilä's own figures say so: engine lead times still rising, Energy orders 2.50 times sales, and about 46% of the megawatts named data centre orders. At €25.64 the market pays about 12.5 times for Energy if Marine gets 14 times. My call: LONG, low conviction, target €30.00; base value €30.36, range €19.36 to €38.64.

Appendix: forecast assumptions

Assumption	2026E	2027E	Basis
Energy net sales growth	16%	22%	Target high-teens organic; book €5.6bn, €692m due in 2026
Energy margin	16.3%	17.5%	Target 18%; 9M 2026 16.0%, Q3 17.5%
Marine growth and margin	2%, 13.0%	5%, 13.0%	Target mid-single-digit, 14%
Net cash, €bn	1.92		Cash €2,469m less debt and leases €548m, 30 Sep 2026
Tax rate, 2027		24%	9M 2026: 24.2%

Full workings, with live formulas, in the accompanying model, 2026-11-02_Wartsila_Model.xlsx.

Sources

Wärtsilä: Interim Report January to September 2026 and Q3 result presentation (27 October 2026), for segment figures, megawatts, order books, 2026 deliveries, balance sheet, shares, risks and quotes; inside information release of 27 October 2026 (mid-term targets, guidance practice); Half-year Financial Report (21 July 2026), for the 1.2 GW of data centre orders, the order book gross margin and the 2.2 times expansion; Interim Report January to March 2026 (28 April 2026), for the 429 MW order and the 35% expansion; Financial Statements Bulletin 2025 (4 February 2026), for 2024 and 2025 segment figures and the 789 MW; release of 5 October 2026 (2027 calendar). Share prices from Nasdaq Nordic; consensus (S&P Global data) and peer multiples from stockanalysis.com; retrieved 2 November 2026. Estimates are the author's own.

About this note

I wrote this note and built the model independently, not for any bank or broker. It tests a claim from my journal piece of 22 September 2026, thephysicallayer.fyi/journal/building-your-own-power; all notes and their track record are at thephysicallayer.fyi/research. The forecasts and view are my own. I hold no position in Wärtsilä. Personal research, not investment advice.

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